Stepping Stone or Exit Path?

Training the long-term unemployed, and what it means for Lithuania

PAPER AUTHORS



Jacob Nielsen Arendt
Rockwool Foundation



Iben Bolvig
VIVE

Presented by Aidas Krišščiūnas · Jokūbas Narvydas · Domas Pitrėnas

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Applied Microeconomics: Group Assignment

Arendt and Bolvig (2026), IZA Discussion Paper No. 18618

The question

Can a year of intensive support move the hardest-to-place claimants into work?

- Denmark already spends heavily on activation, and it targets the claimants caseworkers judge furthest from the labour market.
- The policy bet is that counselling and supervised work placements end benefit dependence.
- The counter-possibility: the same year of supervised activity also documents what a claimant **cannot** do, and that record decides a permanent disability pension.

A randomised trial in 15 Danish job centres tests both margins at once.

The Danish setting

- Welfare claimants receive about USD 2,100 per month as a single provider, against a full-time minimum wage near USD 3,500.
- A permanent disability pension pays about USD 3,200 per month for a single person, more than welfare and close to a low full-time wage.
- The municipal rehabilitation team decides eligibility, and it must see that rehabilitation and activation were attempted first.

The gatekeeping rule matters. It turns a year of activation into evidence in a disability case.

The experiment

Design

- 3,727 claimants randomised in 2016
- 15 job centres
- 1,833 treated, 1,858 controls
- Eligibility: aged 30+, out of work a year or more, assessed as having limited employability

No pre-analysis plan. The disability result is exploratory.

Treatment, one year

- Six weeks of intensive counselling
- An internship in a regular workplace
- Encouragement for the host firm to offer a few contracted paid hours while benefits continue

Who is in the sample

Characteristic	Treatment	Control
Mean age	43.8	44.3
Female	51%	51%
Immigrant	25%	25%
Any employment, prior 5 years	41.5%	42.1%
Hospitalised, prior 5 years	49%	49%
Welfare recipient	98.3%	98.3%

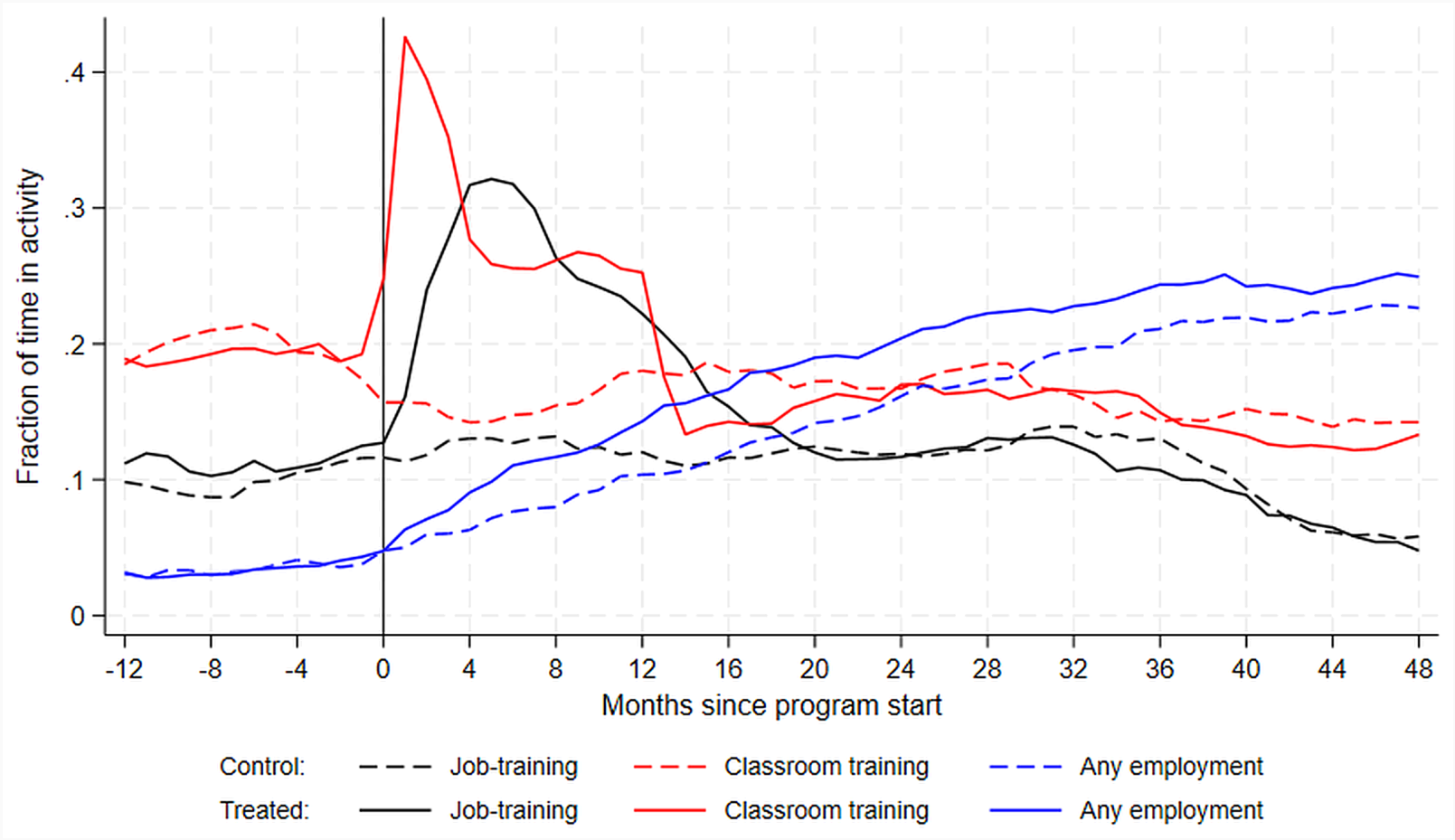
Weak labour-market attachment and poor health are the norm in this group.

What randomisation buys

- Assignment was random, so later differences between the two groups are causal.
- The estimand is the intention-to-treat effect: the offer of the programme, not compliance with it.
- Someone assessed as unable to work may still be pushed toward a disability pension by the programme. That is an outcome, not a nuisance.

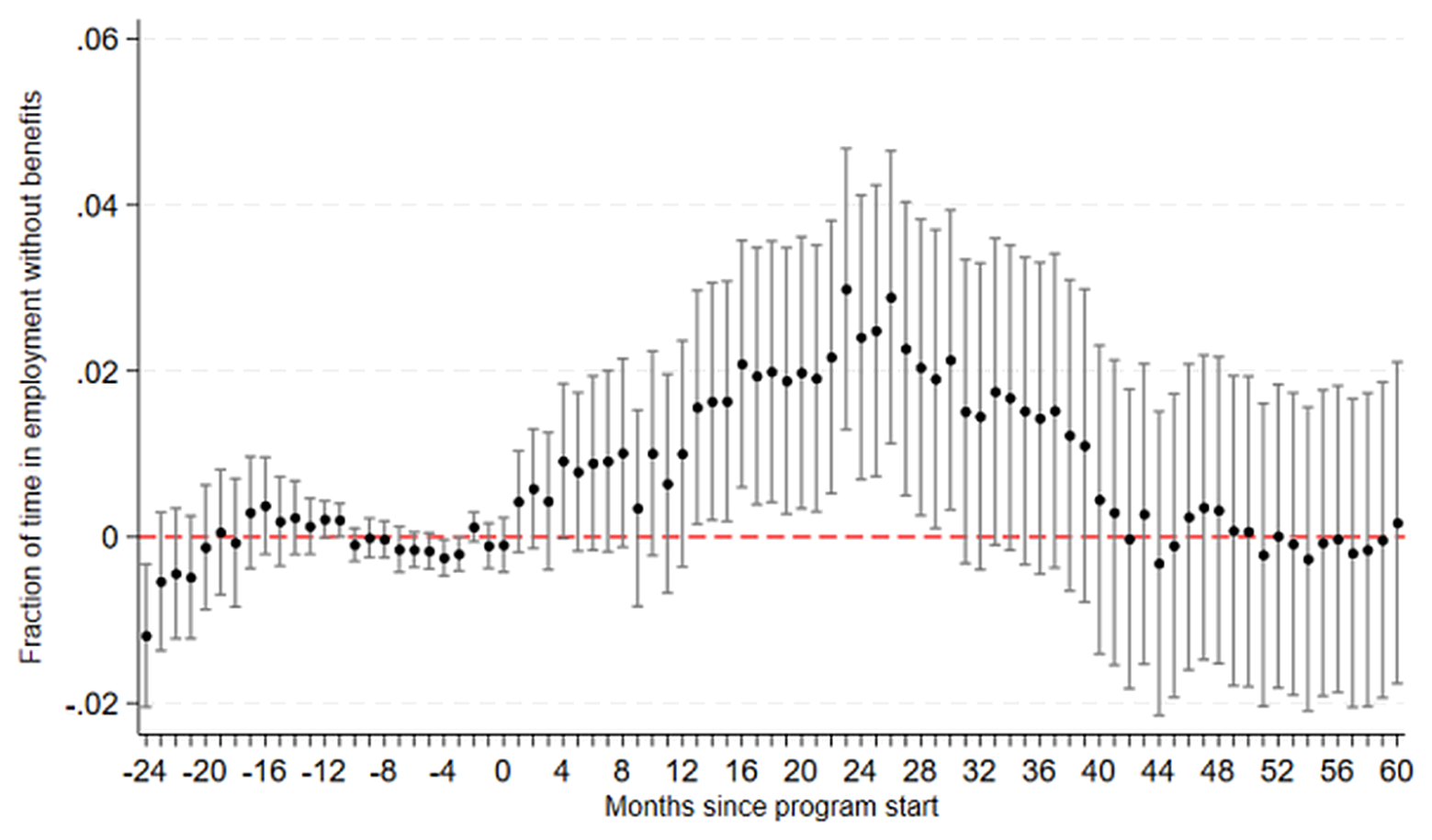
Effects are reported month by month, with 95 percent confidence intervals.

Participation and employment



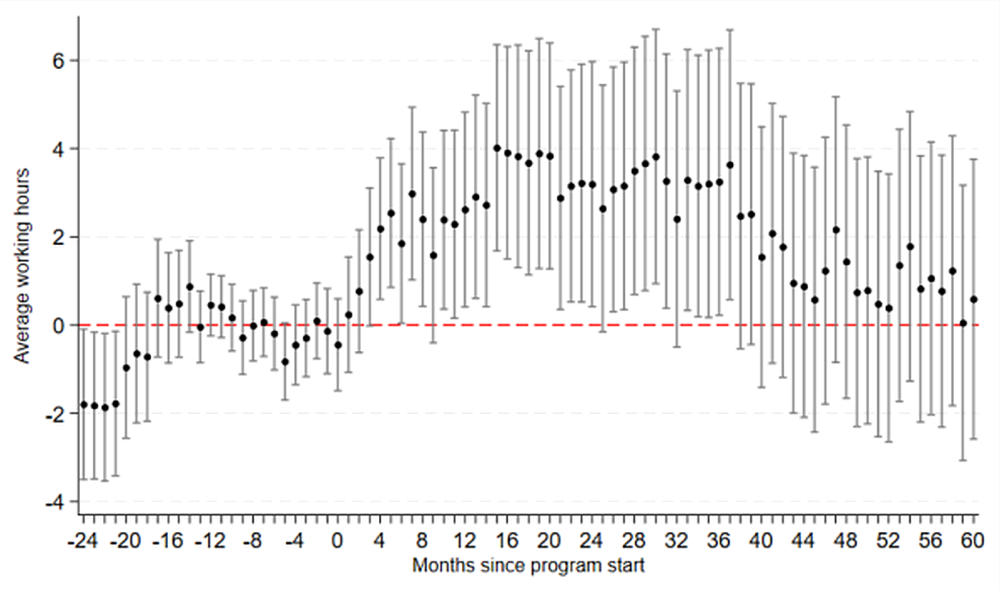
Job-training and classroom-training take-up rises for the treated, and so does employment.

Employment without benefits



A peak near 2 percentage points at about two years, then a return to zero by year four.

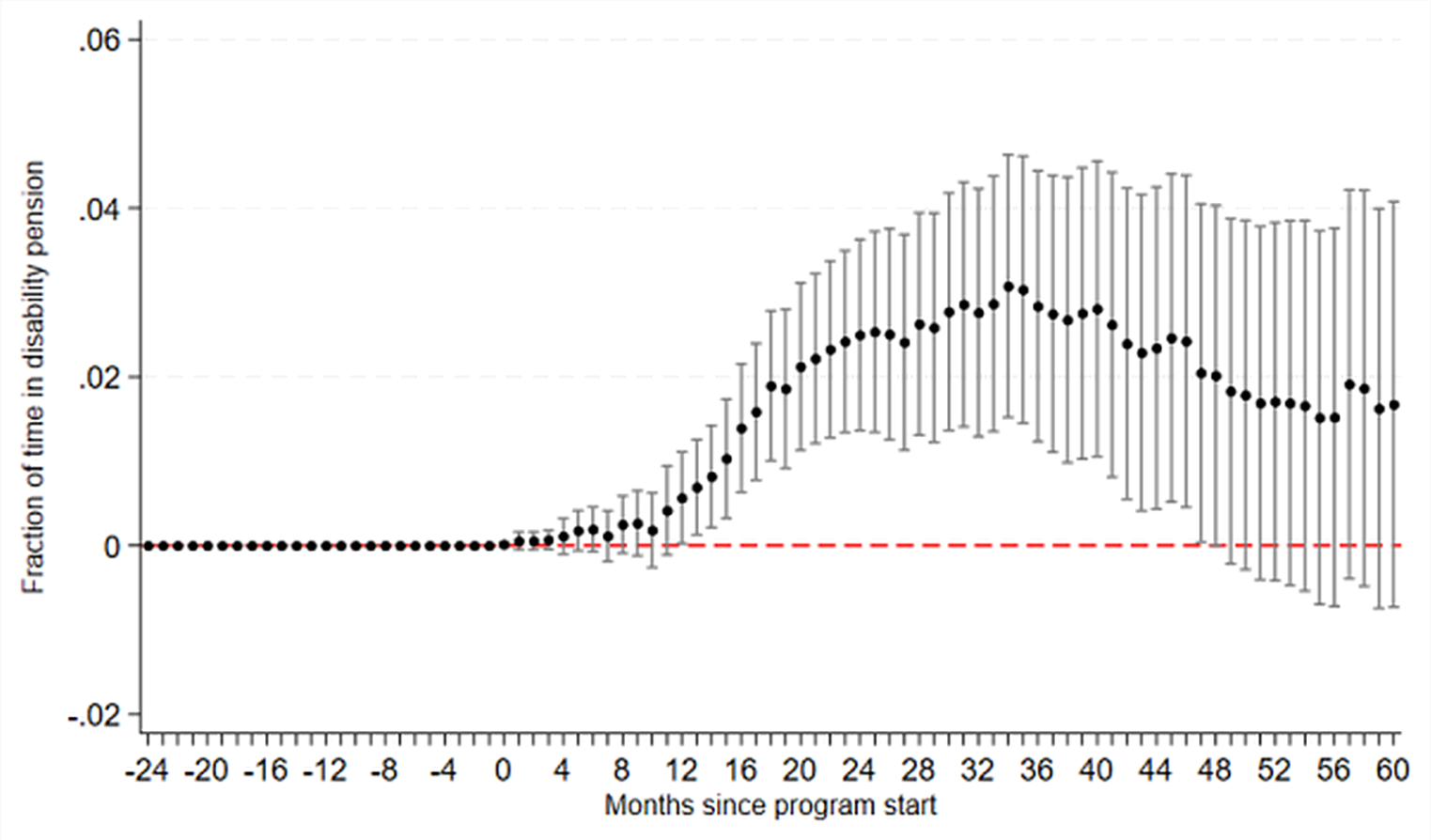
Hours and earnings



Modest, temporary gains

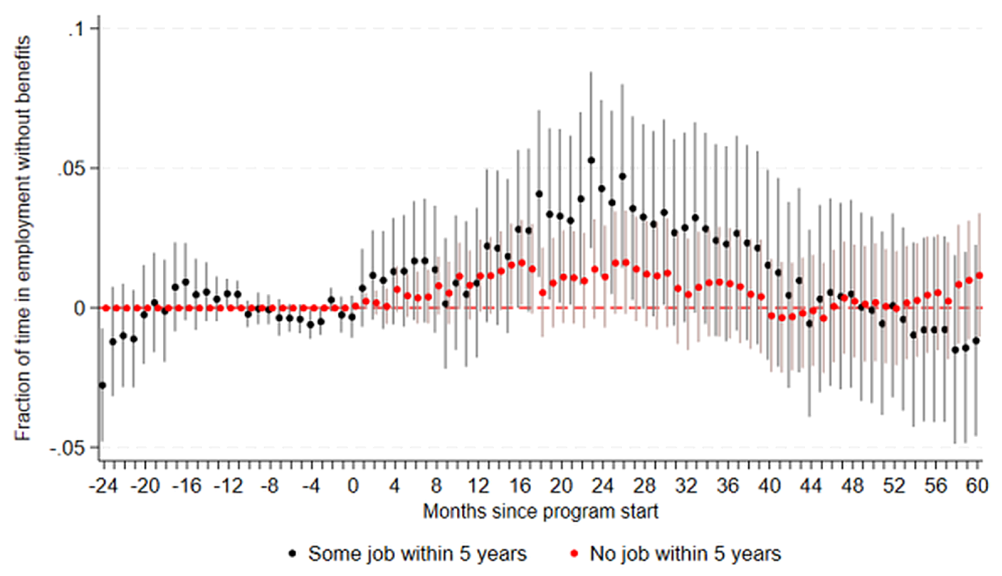
- Work hours peak near 3 extra hours per month.
- Labour income peaks near USD 100 per month.
- Both fade to insignificance by year four.
- The programme did not produce sustained full-time work.

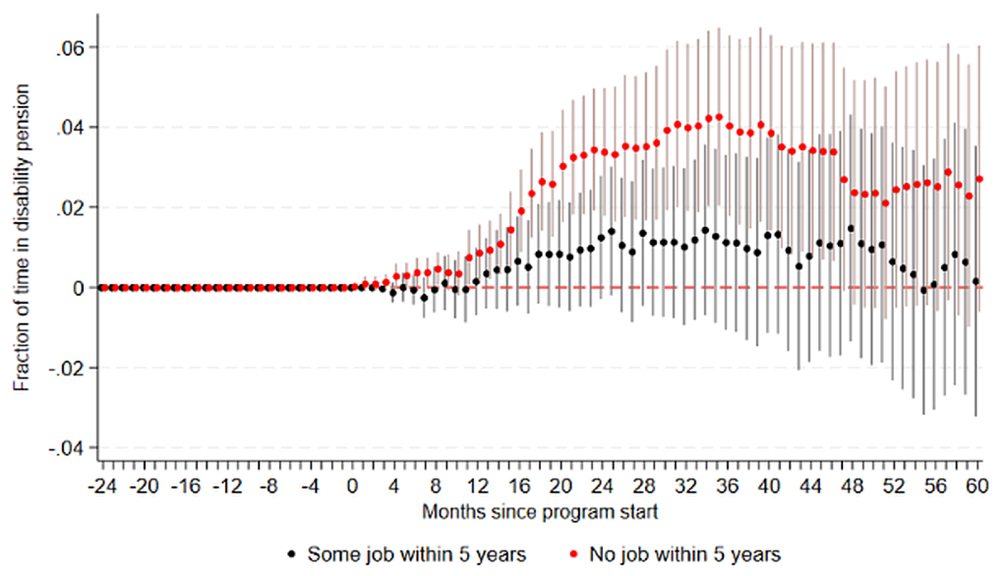
The unintended channel



Disability pension take-up rises about 3 percentage points within three years, from 6 to 9 percent.

Who gains and who exits





Left: employment. Right: disability pension. Claimants with no recent work gain little employment and exit more.

Reading the pattern

- Employment gains concentrate among Danish-born claimants and those with recent work experience.
- Disability exits concentrate among immigrants and the weakest-attached.
- No difference by gender or by single-provider status.

Financial incentives do not explain the split. Productivity and prior attachment do. A year of supervised activity both raises employability and supplies the documentation of limited capacity that a disability case needs.

Is it worth the money?

Item	USD, 2016
Pre-tax income gain	+3,193
Direct programme cost	4,560
Net societal benefit	−1,367
Net societal benefit, with deadweight loss	−1,836
Fiscal impact	−937
MVPF, overall	−0.46

Immigrant subgroup: MVPF about 0.72. Extra pension income near USD 4,300 is nearly cancelled by the welfare they forgo, near USD 4,200, and the net budget cost is near USD 4,800.

Lithuania has the same target group

- Long-term unemployment reached 2.5 percent of the labour force in 2025, up from 2.3 percent, and long-term claimants are 36 percent of all unemployed (Eurostat).
- The Danish rate is 0.9 percent.
- Lithuanian activation spends 0.21 percent of GDP, against 0.45 percent across the OECD, and reaches about 1 percent of the labour force against 5 percent (OECD, 2022).
- In 2024 the long-term unemployed were 9.4 percent of activation participants and about 700 of 12,800 subsidised placements.

The group the Danish programme served is the group Lithuanian policy reaches least.

The exit risk is larger here

- Since January 2024 the Agency for the Rights of Persons with Disabilities assesses a participation level, weighting medical criteria at 60 percent and individual needs at 40 percent.
- A treating physician refers, and municipalities and Sodra pay. No rule requires proof that activation was attempted.
- Average lost-capacity pension: EUR 420 per month in 2025. Average social assistance: about EUR 148 in 2024.
- That premium is roughly 2.2 to 2.8 times social assistance. In Denmark the comparable ratio was about 1.5.

Lithuania pays more for exiting through disability, and its assessment has no equivalent of the Danish documentation gate.

What follows

For policy

- Pilot counselling plus a subsidised internship for long-term claimants.
- Record participation as evidence of what a claimant **can** do.
- Link Employment Service records to Sodra and ANTA data.
- Expand the part-time margin: only 6.3 percent of Lithuanian employment is part-time.

For evaluation

- Randomise, and pre-register the analysis.
- Treat disability applications as an outcome.
- Do not promise savings: the Danish net societal benefit is negative.
- The case rests on reaching a group current policy misses.

Takeaway

Three findings travel.

- Activation for the hardest-to-place raises employment for about three years, and the gain fades.
- The same programme raises permanent disability exits, because it produces the documentation those cases need.
- Where disability pay sits far above social assistance, and where assessment does not require proof of activation, the exit channel should be expected to dominate.

Lithuania sits on both of those conditions.

Thank you

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Arendt, J. N., and Bolvig, I. (2026). IZA Discussion Paper No. 18618. *Scandinavian Journal of Economics*, doi 10.1111/sjoe.70042.

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Questions and discussion welcome.